Brazil Macro Monthly

Pressured by the Treasuries

- We raised our Fed Funds rate projections to 5.75% in 2023 and 4.75% in 2024. We see a higher neutral level now, at 3.5%. Higher rates for longer in the US tend to put pressure on EM asset prices.
- In Brazil, economic activity remains firm, although there are signs of slowdown and heterogeneity across sectors. We continue to expect GDP growth at 2.8% in 2023 and 1.5% in 2024. For 2025, our projection stands at 1.8%, close to what we consider potential economic growth.
- Our fiscal primary deficit forecasts remain at 0.9% of GDP for 2023 and 0.7% of GDP for 2024 and 2025. Thus, Debt-to-GDP ratio should continue to rise ahead. Fiscal sustainability remains a key risk for Brazilian economic outlook.
- Despite recent depreciation, we have not changed our structural view on the BRL. We've adjusted our projection for YE 2023 to BRL/USD 5.10 to reflect the recent movement but kept YE 2024 at BRL/USD 4.85 and YE 2025 at BRL/USD 5.00.
- We maintain our IPCA projection at 4.8% in 2023 and 3.9% in 2024. For 2025, our projection stands at 4.0%, given that inflation expectations are above the 3.0% target and fiscal policy remains expansionary.
- The Copom should keep the 50-bps cut pace in the next meetings. We forecast the Selic rate at 10.00% in YE 2024, still at restrictive territory, and at 9,00% in YE 2025, closer to what we consider its neutral level.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.4	8.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.8	3.9	4.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.10	4.85	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.0	-0.9	-0.8
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.7	-0.7
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.2	77.9	80.2
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	83.5	80.0	82.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	335.0	346.8	362.5
Imports (USD Bn)	185.9	158.8	219.4	272.6	251.5	266.8	280.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-37.5	-42.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.7	-1.8	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	65.0	74.0	80.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.0	3.2	3.3
Nominal GDP (USD Tri)	1,873	1,475	1,649	1,919	2,148	2,335	2,432
Nominal GDP (BRL Tri)	7,389	7,610	8,899	9,915	10,593	11,204	11,923

Source: IBGE, BCB, Bloomberg, XP

Foreword – What is the post-Covid steady-state?

In this Brazil Macro Monthly, we present our 2025 forecasts. Considering we are approaching the end of the Covid cycle, with global monetary policy at or close to its restrictive peak, the two-year ahead forecasts should be close to steady-state equilibrium. This equilibrium, however, is particularly uncertain since the pandemic dust has not settled yet.

Starting with a key variable for any economic scenario: what is the risk-free interest rate level? Long-term US Treasury yields are on the rise for different reasons, such as US fiscal deterioration and trade deglobalization. In the wake of a polarized and populist presidential election next year, these factors should not fade anytime soon. Thus, one should consider that global rates will probably be higher than pre-pandemic levels in the foreseeable future.

In Brazil, the fragility lies in public accounts' dynamics. The new fiscal framework will lead to debt stabilization only if tax revenues increase significantly in the following years, which is quite uncertain (and unlikely). Fiscal instability makes forecasting long-term nominal variables more challenging. On the other hand, institutional strengths, such as central bank independence, help to bring some predictability.

Having said that, we forecast that inflation will eventually stabilize at 4.0%, above the target but still relatively low compared to Brazilian historical standards. That requires monetary policy to remain restrictive in 2024 and reach its neutral level only in 2025. Our neutral real interest rate (r*) assumption is 5.0%. Thus, we see the nominal Selic rate at 10.0% next year and at 9.0% in 2025.

This scenario is consistent with GDP growing below trend in 2024 (1.5%) and improving to 1.8% in 2025 – close to what we consider the potential growth rate.

The main risk to our view is inflation rising again after 2025, due to external and domestic factors. In this case, interest rates tend to be higher than our current forecast.

Global backdrop – Intensified discussions on higher neutral rates

Francisco Nobre

We now believe that the Fed will deliver the additional 25-bps rate hike. Our call change was triggered by the assessment that the balance of risks between high inflation and economic slowdown, which was becoming more balanced, has shifted back towards the prices' side amid the recent spike in global fuel prices and resilient economic activity. Indeed, the dot plot from the September Summary of Economic Projections (SEP) shows that 12/19 FOMC members see another rate hike this year, which is another important indicator. The incoming data will prove key, although, at this point, indicators would have to soften too much and too fast to change this outcome.

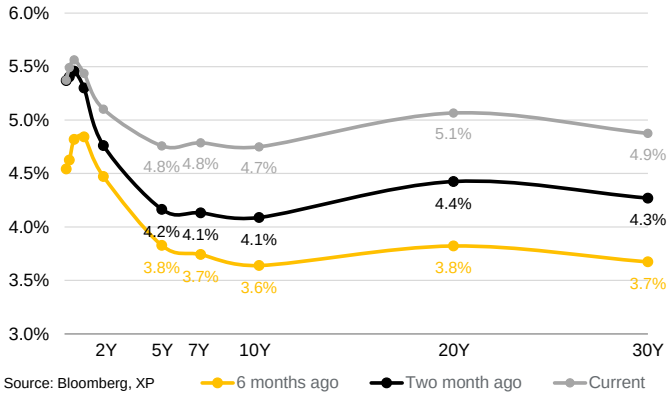
Less space for rate cuts in 2024. We lowered our expectation of rate cuts to 100 bps starting in 3Q24 (from 150 bps starting in 2Q24). This implies that the upper bound of the Fed Funds rate will end 2024 at 4.75% (4.0% before). This change reflects the perspective that renewed uncertainties and inflationary pressures are likely to make the final stage of disinflation stickier. We believe that as inflation continues to ease, the FOMC will have to cut rates by at least 100 bps next year just to keep real rates at the same level of tightness.

We expect monetary policy to reach neutrality in 2025, although at a higher rate. There is great uncertainty regarding longer-term monetary policy. We believe that rates may no longer return to the 2.5% nominal neutral level. We think inflation is likely to stabilize somewhat above its 2% target. Also, it is likely that the neutral real interest rate (r*), estimated at 0.5% before the pandemic, may be higher going forward. Recent shocks, expansionary fiscal imbalances, deglobalization trends and geopolitical tensions would explain the change. Therefore, we expect the Fed Funds rate to drop to 3.5-4.0% by yearend 2025, which we think will be a new neutral level.

Slower growth outlook in China remains. Chinese aggregate data continues to suggest that economic activity did not pick up as expected after the Covid-related reopening, even with ongoing government efforts to boost growth. GDP may still grow by around the 5% target due to a favorable statistical carry, but trends are certainly weaker. We reiterate our view that in the years to come, growth drivers will likely shift from the property and external sectors to consumption, and GDP will likely expand (considerably) below 5% per year.

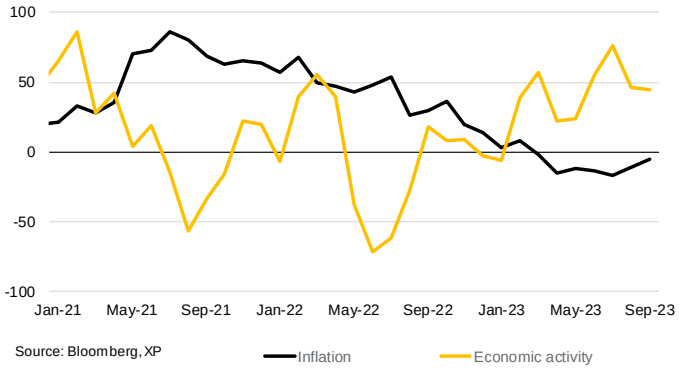
Commodity prices have risen again, although we see limited additional upside potential. Commodities continue

US yield curve continues to shift upwards
US Treasury yield per tenor



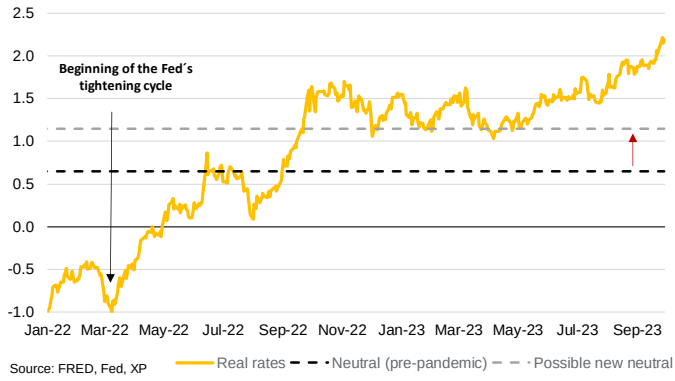
Source: Bloomberg, XP

Inflation has surprised to the downside while activity to the upside in the United States
Citi Economic Surprise Index (above 0, upside; below 0, downside)



Source: Bloomberg, XP

Real interest rates in the US may be higher going forward
Real ex-ante interest rates (%): 10Y UST yield - 10Y breakeven inflation

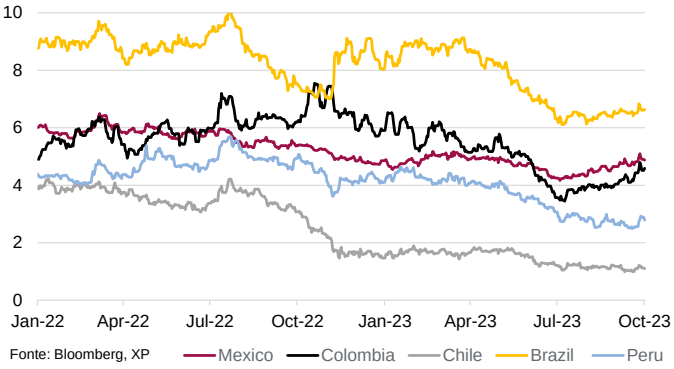


Source: FRED, Fed, XP

to trade considerably below levels reached in mid-2022, although are still considered high. Brent oil prices hit USD 97 per barrel in September, reflecting the cut in supply from OPEC+. Agricultural commodity prices also remain elevated. We highlight the recent rise as a potential risk to global disinflation, although it should continue to benefit commodity exporters.

Latin American economies remain exposed to external factors, such as the unexpected resilience of the US economy to restrictive monetary policy and, on the other hand, the disappointing economic activity results in China. Despite China's weakness being a concern for Latin American economies, exports remain relatively solid in the region. The resilience can be explained by the ongoing replenishment of commodity stocks in China, which supports real exports and commodity prices, with positive spillovers to domestic demand. Regarding FX, currencies in most countries of the region have been supported by elevated commodity prices and initially cheap valuation since the pandemic, although they lost value recently due to the perspective of higher rates for longer in the US.

Falling interest rate differential in EM
10Y interest rate swap differential with US 10Y Treasuries



BRAZIL - Pressured by the Treasuries

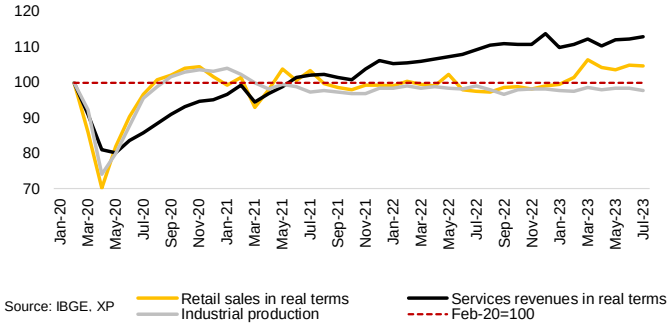
Economic Activity – Firm and (not so) strong

Rodolfo Margato

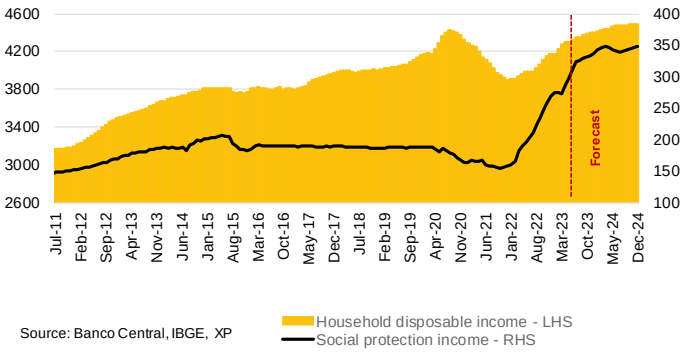
Domestic activity exceeded expectations in 2023. Brazil's GDP grew sharply in the first half of the year, intensifying discussions about the reasons for the so-called resilience of the economy. In our view, the strong performance of sectors less sensitive to the economic cycle – such as agriculture and mining – and the increase in disposable income mostly contributed to the positive surprise. The recovery of the labor market, the sharp rise in fiscal transfers and the short-term inflation relief (especially in food prices) explain the increase in income and, consequently, the soundness of consumption. In this regard, our proxy for the real household disposable income will grow by around 5% this year, with a 25% jump in social protection transfers.

Nonetheless, we have seen signs of economic slowdown and heterogeneity across sectors. The next quarterly GDP results will be weaker, particularly due to the dissipation of the positive agricultural shock. We estimate a slight drop of 0.1% QoQ in 3Q (2.0% YoY). Besides, the major sectors of the Brazilian economy have been showing divergent dynamics. Service activities continue to play the leading role, mainly those linked to household demand. Meanwhile, the manufacturing industry has stagnated, owing to the

Service sector continues to grow steadily
Seasonally adj.data series, in real terms. Base: Feb-20 = 100



Real household disposable income is expected to increase by around 5% in 2023 and 2.5% in 2024
12-month rolling sum. BRL billion, at constant values of Aug/23



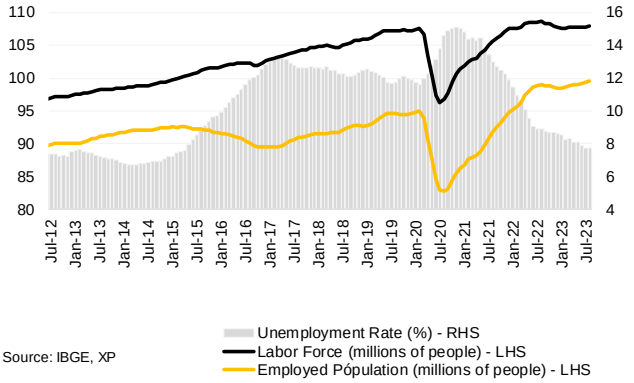
worsening in capital and durable goods production, reflecting tighter monetary conditions and increased corporate and household indebtedness. These factors have also affected retail sales, as the most credit-sensitive segments remain on a falling path, offsetting the solid results of segments more sensitive to income impulses.

We continue to expect GDP to rise by 2.8% in 2023… We believe that GDP will remain virtually stable in the second half of this year, leading to a null statistical carry-over effect for next year. The release of 3Q GDP results is surrounded by greater uncertainty, given recent annual GDP data series revisions.

... and by 1.5% in 2024. Domestic activity is expected to advance at a more moderate pace next year, given the: (i) lower contribution from the agriculture and mining industries; (ii) lower fiscal impulse, although the expansionary bias persists; (iii) slowdown in the global economy; and (iv) moderation in the labor market. Regarding the latter, we have already seen signs of cooling. For example, the real average labor income has been stable since the end of 2022, while the employed population has grown marginally in recent months. Still, the unemployment rate remains below 8% (at its lowest level since 2015), as the labor force participation rate remains far from the pre-pandemic mark.

Our projection for 2025 GDP growth is 1.8%, close to what we consider potential growth. The gradual easing of monetary policy – and subsequent improvement in credit conditions – coupled with the expected recovery for the global economy should lead Brazil's GDP to grow nearly 2% in 2025. In line with the discussions recently highlighted by the Brazilian Central Bank, we believe it is premature to reassess potential GDP growth at this moment, although we recognize gains resulting from recent regulatory reforms and institutional advances.

Labor market remains positive, despite losing steam
Seasonally adjusted data series



Source: IBGE, XP

GDP Breakdown XP Forecasts (%)

	Weight	2022	2023	2024	2025
Agriculture & Livestock	6.8	-1.7	13.5	1.3	3.0
Total Industry	20.7	1.6	1.4	1.0	1.5
Total Services	58.9	4.2	2.2	1.7	1.9
Net Indirect Taxes	13.6	2.1	2.5	1.5	1.7
Total GDP	**100.0**	**2.9**	**2.8**	**1.5**	**1.8**
Household Consumption	63.1	4.3	2.7	1.6	1.9
Government Consumption	18.0	1.5	1.9	1.1	1.3
Gross Fixed Capital Formation	18.1	0.9	-2.0	1.4	2.5
Exports	20.0	5.5	6.7	2.0	2.2
Imports (-)	19.3	0.8	1.0	1.6	2.0

Source: IBGE, XP

Public finance – Deficit and debt continue to rise in the medium term; court-ordered payments do not affect the trend

Tiago Sbardelotto

Short-term fiscal results are in line with expectations. The public sector recorded a primary deficit for the fourth consecutive month in August (BRL 22.8 billion). The result was driven by the central government deficit (of BRL 26.2 billion), while regional governments and state-owned companies posted surpluses of BRL 2.5 billion and BRL 0.9 billion – respectively. In 12 months, the public sector accumulated a deficit of BRL 73.1 billion (0.7% of GDP),

driven by central government deterioration, whose revenues fell 4.3% in real terms, especially those related to profits, concessions, dividends, and natural resource exploitation. Spending, in turn, rose 3.5%, mostly due to social security and welfare benefits.

We maintain our BRL 110.5 billion deficit projection (1.0% of GDP) for the central government in 2023. Despite the recent movement of rising oil prices favoring revenue gains we believe that the measures implemented by the government so far have underperformed - especially the change to the PIS/Cofins base. On the expenditure side, reductions in categories such as personnel and subsidies have been offset by increases in social security and welfare.

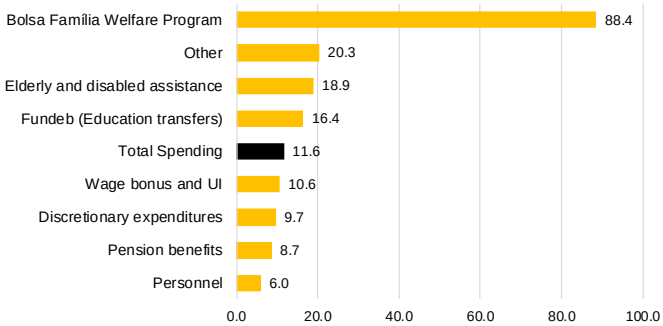
However, the payment of overdue court-ordered debts may increase the deficit. As we discussed in this report, the government requested authorization from the Judiciary to pay court-ordered debt issued and unpaid from 2021 to 2024, which amounts to BRL 95 billion. Although it sounds like a reasonable measure, uncovering the pending debt on fiscal statistics, the request also suggested an unorthodox methodological change – to differentiate between principal and interest payments. These would be accounted for as primary and financial spending, respectively. If the government's request is accepted, considering that 60% of total debt accounts to interest payments, the deficit for 2023 could grow to BRL 38 billion, reaching BRL 148.5 billion (1.4% of GDP).

The forecast for 2024 should improve at the margin. We now expect a primary deficit of BRL 96.7 billion (0.9% of GDP) compared to BRL 99.8 billion (0.9% of GDP) in the previous projection. The improvement is mostly explained by the rise in oil prices, which should support revenue - if maintained at current levels.

Primary deficit remains in 2025. We estimate that, based on the new fiscal framework, the expenditure limit will grow by 2.5% in 2025. Revenue growth, on the other hand, should remain a challenge: less than half (40%) of the measures included in the 2024 budget are recurrent. Thus, we project a deficit of BRL 101.3 billion (0.8% of GDP).

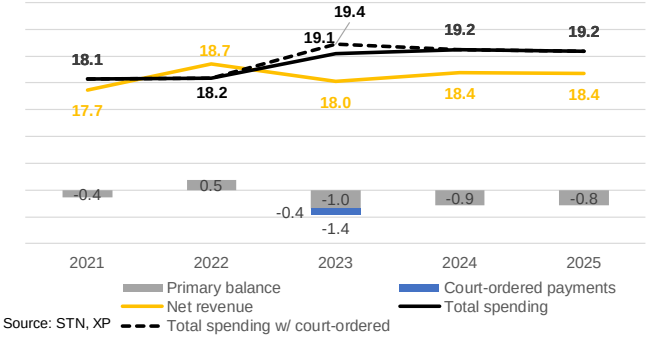
Central government should lead the consolidated public sector to a deficit. Unlike what was seen in 2021 and 2022, when regional governments contributed significantly to primary surpluses, we expect states and municipalities to post weaker results in the coming years, albeit still positive. We project deficits of BRL 94.1 billion (0.9% of GDP), BRL 81.5 billion (0.7% of GDP), and BRL 88.1 billion (0.7% of GDP) for 2023, 2024, and 2025, respectively.

Recurrent spending are expected to grow significantly above inflation in 2023
Change in real terms (%). XP Forecast.



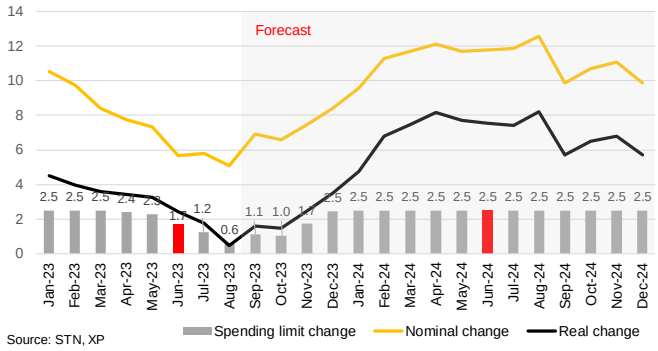
Source: STN, XP

We forecast primary deficit for the central government in the year to come
Net revenue, total spending and primary balance (% of GDP)



Source: STN, XP

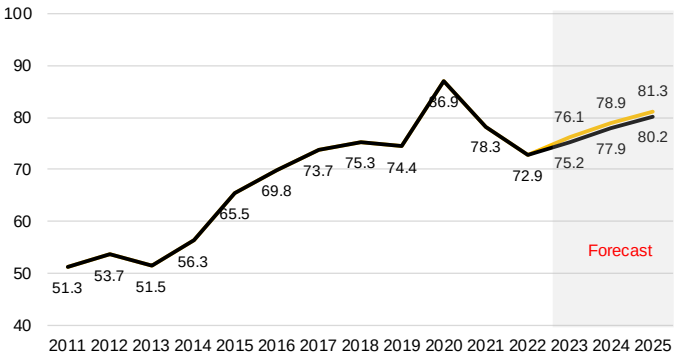
Spending limit to grow 2.5% above inflation by 2025
(%)



Source: STN, XP

Debt may grow with court-ordered payments. The changes to our scenario were not enough to modify gross debt projections, which should reach 75.2% in 2023, 78.1% of GDP in 2024, and 80.1% in 2025. However, if we consider the payment of court-ordered debt as expected by the government, gross debt should reach 76.1% of GDP in 2023, 79.1% in 2024, and 81.3% in 2025.

Court-ordered payments settlement does not change debt trend
General Gov. Gross Debt (% of GDP)



Source: Banco Central, XP

Discussion about the primary balance target should continue. Discussions on the 2024 budget showed that achieving the government's official primary balance target remains unlikely. Several of the government's proposed revenue boosting measures require Congress approval. Additionally, initiatives already approved, such as changes in CARF, are expected to bring lower than expected results. As we've stressed before, it remains key that the government maintains the approved fiscal target, undertaking the required adjustment measures, including those prescribed in the new fiscal framework. Nevertheless, given the challenges for boosting revenues, the mandatory spending cuts of BRL 54 billion (our estimate), and the triggers and sanctions related to the new fiscal framework, we assign a high probability of a change to the current target. We understand the change should occur at the end of this year or in the first quarter of next year.

External Accounts – BRL depreciation amid high interest rates abroad and domestic fiscal uncertainty

Rodolfo Margato

Brazilian Real on a depreciation path. The Brazilian exchange rate has exceeded BRL/USD 5.00, reaching the highest levels since late May. The scenario of high interest rates for longer in developed economies - particularly in the US - combined with rising uncertainties on domestic fiscal accounts explain, to a large extent, the BRL depreciation seen in the recent period. The DXY dollar index rose by nearly 5% in the last two months. Additionally, the US/Brazil interest rate differential has recently reached the lowest level in 15 years (excluding the pandemic period), which also puts pressure on the exchange rate.

Real exchange rate is above the historical average
Jun/94 = 100. Real exchange rate: BRA (IPCA) x EUA(CPI)

Source: Banco Central, IBGE, BBG, XP

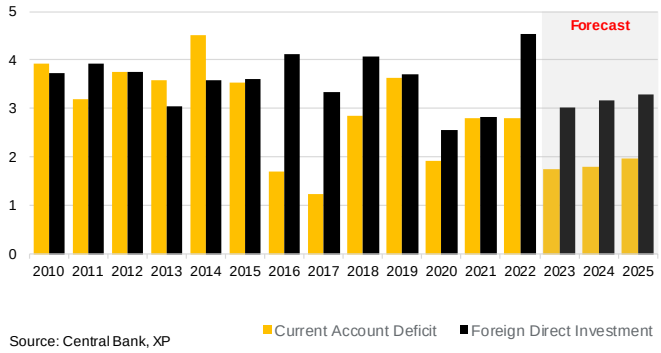
We have adjusted our short-term FX projections, although not changing our structural view. We lifted our projection for the exchange at the end of 2023, to BRL/USD 5.10 from BRL/USD 4.70, incorporating recent movements. Regarding longer horizons, nonetheless, we maintain the view that the exchange rate compatible with economic fundamentals ("structural value") stands between BRL/USD 4.50 and BRL/USD 5.00. The real exchange rate

is undervalued compared to historical standards. Thus, we project BRL/USD 4.85 for YE 2024 and BRL/USD 5.00 for YE 2025.

Lower current account deficits, in the wake of record trade surpluses. The Brazilian trade balance remains at all-time highs, reflecting the steady expansion in exports (especially primary goods), in tandem with the sharp decline in imports (mainly intermediate goods). Amid the strong performance of the trade balance, we revised our projection for the current account deficit at the end of 2023: to USD 37.5 billion (1.7% of GDP) from USD 45.0 billion (2.1% of GDP). Looking ahead, we expect the current account deficit to widen moderately, reaching levels still significantly below the historical average. Our projections point to -USD 42.0 billion YE 2024 (-1.8% of GDP) and -USD 48.0 billion YE 2025 (-2.0% of GDP).

Net FDI inflows are falling but expected to recover in the coming years. FDI – Foreign Direct Investments – has been disappointing in recent months. As a result, we have downwardly revised our expectation for YE 2023, to USD 65.0 billion (3.0% of GDP) from USD 70.0 billion (3.2% of GDP). Nonetheless, we project that FDI will gradually recover in the coming years, reaching USD 74.0 billion by YE 2024 (3.2% of GDP) and USD 80.0 billion by YE 2025 (3.3% of GDP).

Current account deficit remains significantly below the historical average
(% GDP)



Source: Central Bank, XP

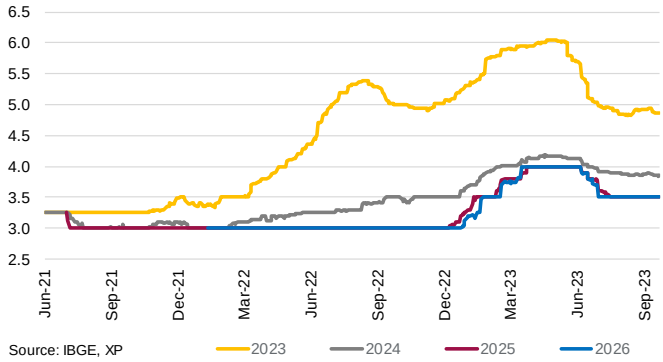
Inflation – Benign short-term dynamics and still unanchored medium-term expectations

Alexandre Maluf

'First stage' of disinflation has not ended... The August IPCA and the September mid-month IPCA-15 were slightly below market expectations and continued to show benign disinflation dynamics for industrial goods and foodstuff. However, even if we see a pass-through of the price drop from wholesale to retail, recent inflation readings for producers indicate some reversal ahead. Highlights include the recent exchange rate depreciation, the rise in oil prices and the consequent adjustments in fuel prices by Petrobras. In any case, the disinflation of the goods category, called the "first stage" by the central bank, continues.

...while the 'second stage' is becoming clearer. Inflation of underlying services, closely monitored by the Central Bank, fell for the third consecutive reading in the last IPCA-15. The 3-month seasonally annualized moving average (3M SAAR) fell to 4.7% from 4.8%, well below the peak of 11.1% seen in July 2022. It is still above the 3.25% target, but the declining trend is clear.

2025 Inflation expectations have stabilized at 3.5%
12M accumulated (%)



Source: IBGE, XP

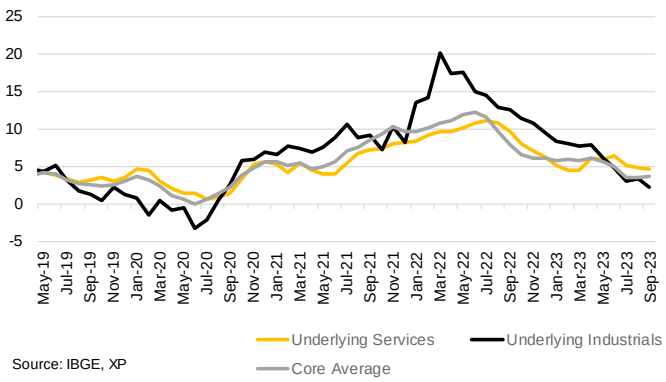
Still, we do not see services inflation at the target anytime soon. Among the headwinds for services continuing disinflation are: i) inflation expectations above the target; ii) resilient services activity; and iii) intense income transfer programs amid expansionary fiscal policy.

We maintain our IPCA projection at 4.8% for 2023... As noted above, we see upward risks to industrialized and fuel inflation due to the rise in oil prices and the strengthening of the dollar. On the foodstuff side, we have been surprised by the benign dynamics of proteins, dairy products, and wheat-related groceries. On the other hand, the prices of sugar and rice continue to rise at the wholesale level and are a cause for concern. The main uncertainty in the short term lies in the intensity of services disinflation, for which the fundamentals (economic activity and the labor market) do not point to a significant drop in the last four months of 2023.

...and at 3.9% for 2024. Despite having maintained our projection for 2024 IPCA, we slightly changed its composition. We increased our projection for food at home, incorporating the additional effect of El Niño on fresh food. On the other hand, we reduced our projection for monitored prices, mainly considering a lower outlook for car registrations and electricity, while we raised our projection for gasoline and diesel, given the prospect of higher oil prices.

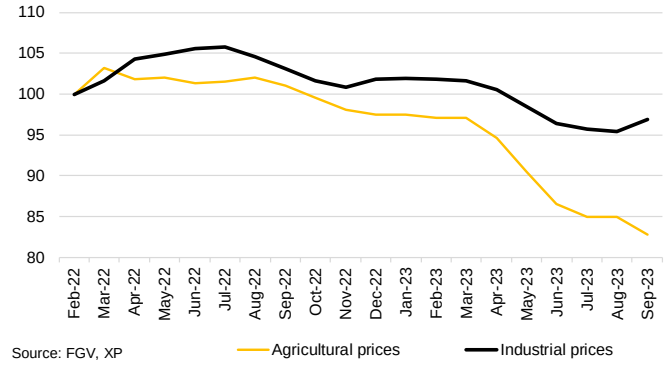
2025 Inflation. Inflation expectations for 2025 remain unanchored at 3.5%, above the 3.0% target. In the latest Quarterly Inflation Report (RTI), the BCB brought an econometric exercise to estimate why agents project higher inflation. The result is not different from what we could imagine: inflationary inertia, the global persistence of inflation, and prospects of primary deficits or higher public spending explain the effect.

Underlying gauges keep showing benign dynamics
IPCA-15 SAAR 3M (%)



Source: IBGE, XP

Wholesale prices still indicate well-behaved consumer inflation ahead
Feb/22 = 100



Source: FGV, XP

Monetary Policy – Limited room for easing reinforced by higher global rates

Caio Megale

Higher global rates and domestic fiscal uncertainties do not jeopardize room for rate cuts in the short term. Inflation is falling and economic activity is losing steam. Thus, considering that the current monetary stance is significantly restrictive, we see room for the easing cycle to continue in the coming months.

Keeping the pace. We maintain our scenario that the Copom will cut the Selic rate at a pace of 50 bps per meeting until May 2024, and deliver a final 25-bps cut in June, taking the Selic rate to 10.00%. We believe monetary

policy needs to remain restrictive next year to offset the effects of expansionary fiscal policy and ensure the convergence of inflation to the target range.

Rising market rates in developed economies put an upside risk to this forecast.

Neutral stance in 2025. Assuming that inflation will stabilize at around 4.0%, monetary policy can be neutral in 2025. We estimate the neutral interest rate of 5.0%. Thus, **the Selic rate could be adjusted to 9.0%** in the first half of the year.

XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.4	8.2
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.8	3.9	4.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.10	4.85	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.0	-0.9	-0.8
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.7	-0.7
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.2	77.9	80.2
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	83.5	80.0	82.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	335.0	346.8	362.5
Imports (USD Bn)	185.9	158.8	219.4	272.6	251.5	266.8	280.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-37.5	-42.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.7	-1.8	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	65.0	74.0	80.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.0	3.2	3.3
Nominal GDP (USD Tri)	1,873	1,475	1,649	1,919	2,148	2,335	2,432
Nominal GDP (BRL Tri)	7,389	7,610	8,899	9,915	10,593	11,204	11,923

Source: IBGE, BCB, Bloomberg, XP

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